

C H A P T E R 6

1929

In the larger history of economics and finance, no year stands out as does 1929. It is, as I have elsewhere observed—like 1066, 1776, 1914, 1945, and now, perhaps, with the collapse of Communism, 1989—richly evocative in the public memory. That is partly because the speculative debacle that then occurred was of special magnitude, even grandeur, and more because it ushered in for the United States and the industrial world as a whole the most extreme and enduring crisis that capitalism had ever experienced.

Nineteen twenty-nine is also remembered because there were then evident all the elements of the euphoric episode and especially the powerful commitment to presumed financial innovation. This last included, as ever, the rediscovered wonders of leverage, presently to be examined, and the parade of publicly celebrated genius. Optimism built on optimism to drive prices up. Then came the crash and the eventual discovery of the severe mental and moral deficiencies of those once thought endowed with genius and their consignment, at best, to oblivion, but, more grimly, to public obloquy, jail, or suicide. In 1929 and for years thereafter, all this was larger than life.

The justifying mood was the political, social, and economic order that was associated with the benign and, inevitably, Republican administration of Calvin Coolidge and his Treasury Secretary, Andrew W. Mellon. Then, beginning on March 4, 1929, came the presidency of the more experienced engineer, administrator, and statesman Herbert Hoover. It was a mood to be repeated a little less than 60 years later with the advent of Ronald Reagan. This recurrence was not entirely an accident. Most of those who manage investment operations or who have sizable amounts of money to invest are, indeed, Republican in their politics. Naturally, perhaps inevitably, they